12
CHAPTER

Consumer Protection

MEANING OF CONSUMER PROTECTION

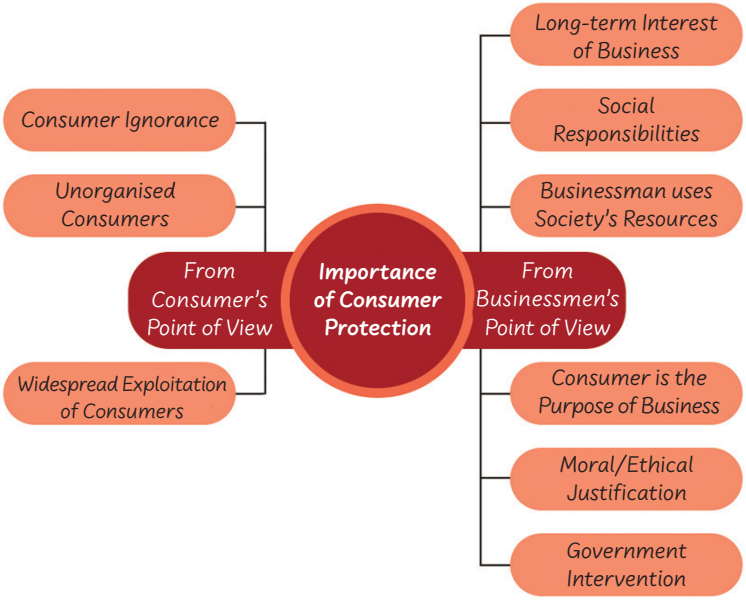
Consumer Protection is an act that safeguards buyers from unfair trade practices, shifting responsibility to sellers (Caveat Venditor). It ensures fair dealings, prevents exploitation, and provides legal remedies against unethical business conduct.



IMPORTANCE OF CONSUMER PROTECTION

For Consumers

1. **Unorganised Consumers:** *Encourages the formation of consumer organizations to safeguard interests.*
2. **Consumer Ignorance:** *Spreads awareness about rights and redressal mechanisms.*
3. **Exploitation Prevention:** *Protects consumers from unfair trade practices.*



For Businessmen

1. **Long-term Interest of the business:** *Consumer satisfaction ensures business growth.*
2. **Social Responsibility:** *Businesses must provide quality goods at fair prices.*
3. **Use of Society's Resources:** *Businesses owe ethical responsibility to society.*
4. **Consumer-Centric Approach:** *Consumers are the foundation of business.*
5. **Ethical Business Practices:** *Enhances goodwill and prevents legal issues.*
6. **Avoids Government Intervention:** *Compliance prevents legal and reputational risks.*

LEGAL PROTECTION TO CONSUMERS

*The **Consumer Protection Act 2019**, replacing the 1986 Act, was introduced by **Ram Vilas Paswan** on **July 8, 2019**. It ensures **quick and cost-effective consumer grievance redressal** and applies to **all businesses, including e-commerce** across India.*



Key Features

1. *Grants consumers various rights and responsibilities.*
2. *Protects against defective products, service deficiencies, and unfair trade practices.*
3. *Establishes a three-tier redressal system for consumer grievances.*

WHO IS A CONSUMER?

*A **consumer** is anyone who buys goods or avails services for consideration, including online and offline transactions.*

Types of Consumers

- **Consumer of Goods:** *Purchases goods for personal use, not for resale.*
- **Consumer of Services:** *Hires or avails services for personal use.*

WHO CAN FILE A COMPLAINT?

1. *Any consumer.*
2. *State or central government.*
3. *Parents/guardians (if the consumer is a minor).*
4. *Legal representative/heir (if the consumer is deceased).*
5. *Registered consumer associations.*
6. *Multiple consumers with shared interests.*

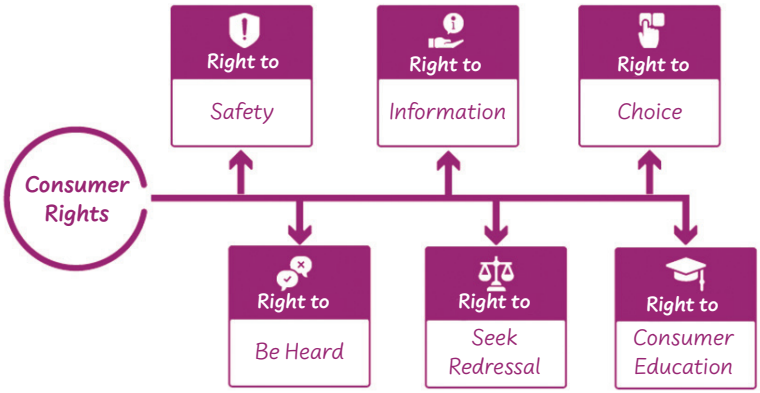
AGAINST WHOM?

- ***Sellers, dealers, or manufacturers*** *(for defective goods).*
- ***Service providers*** *(for deficient services).*

WHO IS NOT A CONSUMER?

- *Those availing goods/services for free, resale, or without the buyer's/hirer's approval.*

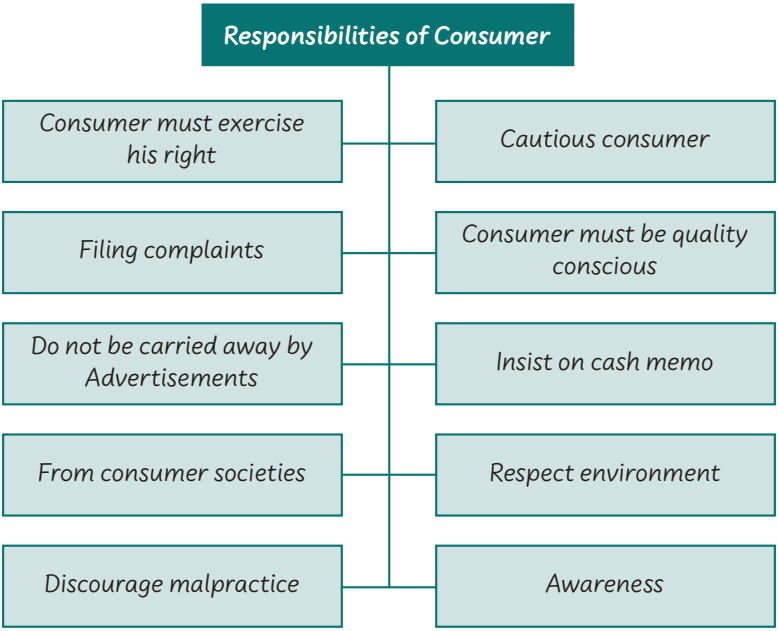
CONSUMER RIGHTS (RICH - SE)



1. ***Right to Safety:*** *Protection from hazardous goods and services.*
2. ***Right to Information:*** *Access to details on quantity, quality, price, and standards.*
3. ***Right to Choose/choice:*** *Freedom to select products/services without pressure.*
4. ***Right to Be Heard:*** *Consumers can voice complaints and be represented.*
5. ***Right to Seek Redressal:*** *Compensation for unfair trade practices or exploitation.*
6. ***Right to Consumer Education:*** *Awareness of consumer rights, laws, and protections.*

CONSUMER RESPONSIBILITIES (HONEST CBSE FAIR SRCC)

1. **Exercise Rights:** *Be aware and use consumer rights effectively.*
2. **Be Cautious:** *Verify product details instead of blindly trusting sellers.*
3. **File Complaints:** *Report defective goods/services to discourage unfair practices.*
4. **Be Quality Conscious:** *Check for quality labels like ISI, AGMARK.*
5. **Avoid Misleading Ads:** *Verify claims before purchasing.*
6. **Insist on a Cash Memo:** *Essential for proof of purchase and complaints.*
7. **Form Consumer Societies:** *Educate and protect consumer interests.*
8. **Respect the Environment:** *Avoid waste and pollution.*
9. **Discourage Black Marketing:** *Choose legal goods and services.*
10. **Be Aware:** *Stay informed about available goods and services.*



Quality Marks in Products

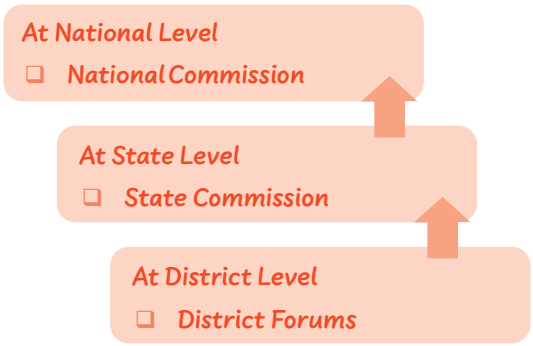
- **ISI Mark:** *For consumer durables (electronics, appliances).*
- **AGMARK:** *For agricultural products.*
- **BIS Hallmark:** *For jewellery.*
- **Woolmark:** *For 100% pure wool.*
- **ECO Mark:** *For eco-friendly products.*

RELIEFS OR REMEDIES AVAILABLE TO CONSUMERS ON COMPLAINTS FILED

1. **Removal of Defects:** *Consumers can get defects in goods or services rectified.*
2. **Product Replacement:** *Consumers can replace defective products with non-defective ones.*
3. **Refund:** *Consumers are entitled to a refund of the price paid for defective goods or services.*
4. **Hazardous Goods Withdrawal:** *Consumers can seek the removal or withdrawal of hazardous goods from the market.*
5. **Compensation for Loss/Injury:** *Consumers can claim compensation if injured or suffering loss due to negligence.*
6. **Discontinuation of Unfair Practices:** *Unfair trade practices can be discontinued.*
7. **Cease Hazardous Manufacturing/Service:** *The manufacture or provision of hazardous goods/services can be halted.*
8. **Punitive Compensation:** *Additional compensation may be awarded as a corrective measure for harm.*
9. **Adequate Cost Payment:** *Consumers can receive costs related to the grievance.*
10. **Stop Misleading Advertisements:** *Consumers can stop misleading advertisements.*
11. **Unfair Contract Nullification:** *Unfair contracts can be declared null and void.*
12. **Prohibit Sale of Hazardous Goods:** *Sale of hazardous goods can be stopped.*
13. **Product Liability Compensation:** *Compensation for injury or loss under product liability.*

REDRESSAL AGENCIES UNDER THE CONSUMER PROTECTION ACT, 2019

The three-tier grievance machinery established under the Consumer Protection Act, 2019 includes the District Commission, State Commission, and National Commission.



1. District Commission

- **Jurisdiction:** *Complaints for goods/services worth ₹1 crore or less.*
- **Structure:** *A president (District Court judge) and two members.*
- **Appeal:** *Can appeal to the State Commission within 45 days if dissatisfied with the judgment.*

2. State Commission

- **Jurisdiction:** *Complaints for goods/services worth ₹1 crore to ₹10 crores.*
- **Structure:** *A president (High Court judge) and four other members.*
- **Appeal:** *Can appeal to the National Commission within 30 days by depositing 50% of the fine.*

3. National Commission

- **Jurisdiction:** *Complaints for goods/services worth ₹10 crores or more.*
- **Structure:** *A president and four members (including one woman).*
- **Appeal:** *Can appeal to the Supreme Court within 30 days by depositing 50% of the fine.*

ROLE OF CONSUMER ORGANIZATIONS AND NGOS (PEELI - CC)

1. **Carrying out Comparative Testing:** *Motivating consumers to check for quality certifications like Agmark and Hallmark.*
2. **Taking Initiative:** *In filing cases in consumer courts on behalf of general public*
3. **Product Testing:** *Conducting comparative product tests and publishing results.*
4. **Resolve cases:** *Assisting government agencies in resolving consumer issues and spreading awareness.*
5. **Legal Assistance:** *Offering legal advice and support for consumers seeking remedies.*
6. **Encouraging Action:** *Encouraging consumers to protest against unfair practices.*
7. **Consumer Education:** *Publishing periodicals and organizing workshops to educate consumers about rights and responsibilities.*